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Bipartisan coalition of legislators introduce bill to divest state funds from Russia

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State Senate Majority Leader Mike McGuire and a broad, bipartisan coalition of California state legislators will be introducing legislation to divest state public funds from Russia and Russian-state entities following the unprovoked war against Ukraine.

While the federal government has taken swift and aggressive action advancing unprecedented sanctions against Russia and its leaders, California is the world's fifth largest economy and enhanced action taken by the state could help the people of Ukraine by putting additional financial pressure on the already beaten-up Russian economy.

"The world is watching the atrocities taking place in Ukraine. It's sickening," McGuire said. "We must stand strong for the people of Ukraine. That's why we all must mobilize to stop Russia in its tracks. California has unique and remarkable economic power in this circumstance. As the fifth largest economy in the world, we must use this power for good. We can help stop this autocratic thug, Putin, by advancing this critical legislation and enacting our own financial divestments."

Senate Majority Leader McGuire and the legislative coalition will be advancing a bill that will call on all state agencies, including the Golden State's massive pension funds, CalPERS and CalSTRS, to divest from any and all Russian assets immediately.

It's believed California has Russian investments exceeding over $1 billion, primarily in its pension funds. At this point there can be no excuse to invest in and support Putin, his oligarchs and the Russian economy.

Russia's economy, not even in the top 10 of world economies, is one of their big pressure points and California should use its power to exert influence where it can.

The delegation will also ask private companies based in California to divest their investments in the Russian economy. In addition, the legislation would block the awarding of state contracts to any company that is conducting business with Russia.

This bill is supported by a broad and growing bipartisan coalition of senators and Assembly members, including senators Susan Eggman, Scott Wiener, Dave Cortese, Bill Dodd, Tom Umberg and Susan Rubio, and Assembly members Kevin Mullin, Suzette Martinez Valladares, Jesse Gabriel, Evan Low, Phil Ting, Jim Wood, Marc Berman, Chad Mayes, Jordan Cunningham, Cristina Garcia, Laurie Davies, Cottie Petrie-Norris, Randy Voepel and Miguel Santiago.

"Russia's unprovoked and unjustified invasion of Ukraine is a threat to democratic freedoms and global stability. The loss of life to satisfy the ego of a fragile tyrant is unconscionable and there must be consequences. This legislation builds upon the strong economic sanctions being pursued by the Biden Administration and our allies," Assistant Senate Majority Leader Susan Eggman said.

"As the fifth largest economy in the world, California cannot stand on the sidelines while this rise of authoritarianism threatens democracy and freedom around the globe. The aggression of Vladimir Putin against Ukraine demands severe sanctions and I am in full support of California taking aggressive steps to divest from Russian assets and financial institutions. I am proud to co-author this legislation and the significant message it conveys," Assembly Speaker pro Tempore Kevin Mullin said.

Chair of the Senate Labor, Public Employment and Retirement Committee Sen. Dave Cortese said, "As a state, it is

our responsibility to ensure we are not fueling this global crisis that has caused tremendous human suffering. I hope that other governments follow California's lead in standing for peace and taking swift action against this unjustified attack on Ukraine."

"Putin is a brutal fascist dictator," said Sen. Scott Wiener. "His attempted conquest of Ukraine is an extreme violation of international law and is creating a humanitarian disaster. We must not allow this destructive invasion — which will have long-term consequences for peace and security in Europe — to stand. California should not in any way support Putin's corrupt oligarchy. We must divest now."

Sen. Bill Dodd said, "California stands with the Ukrainian people. It gives me no joy to sanction Russia, but the terrible invasion and murder of Ukrainian civilians by Vladimir Putin demand it. I call on other states and businesses to follow suit — we must hold Russia accountable and help our Ukrainian brothers and sisters."

"Like Californians across the state, I am disgusted by Putin's thuggish and unlawful invasion of Ukraine," said Assemblymember Suzette Martinez Valladares. "I'm proud to co-author this bill, which will leverage California's economic strength to put significant pressure on Russia and support our friends in Ukraine. California's state agencies and public pensions cannot help fund a dictator's attempts to take over sovereign nations."

"An unprovoked and illegal invasion of a sovereign nation is grounds for divestment. California must stand with the people of Ukraine," said Assemblymember Jordan Cunningham said.

Assemblymember Jesse Gabriel said, "As the world's fifth largest economy and home to many of the world's most iconic companies, California is perfectly positioned to inflict tremendous economic pain on the Putin regime. Russia's unjustified and unprovoked attack on Ukraine demands a swift and severe response. This legislation makes clear that California will use its full economic and political power to reinforce U.S. and international sanctions, and that the Golden State will stand proudly with our international partners and the Ukrainian people at this difficult moment."

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